

Presentation 

972 Real Estate—Common Interest Realty Associations

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205 Presentation of Financial Statements

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

972-205-05-1 This Subtopic addresses fund reporting and financial statement requirements for common interest realty associations.

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

972-205-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 972-10-15.

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Common Interest Realty Association

An association, also known as a community association, responsible for the governance of the common interest community, for which it was established to serve. A common interest realty association is generally funded by its members via periodic assessments by the common interest realty association so that it can perform its duties, which include management services and maintenance, repair, and replacement of the common property, among other duties established in the governing documents and by state statute.

Cooperative Housing Corporation

Also referred to as a coop, a cooperative housing corporation is an entity established as a corporation that owns the real estate, usually a multi-unit dwelling, and all improvements on it and is responsible for its maintenance and payment of debt service. Ownership in the corporation is evidenced by shares of stock owned by tenant-shareholders who are entitled to occupy a unit under a proprietary lease. The individual ownership interests in most cooperatives are structured as personal property interests, but some are structured as real property interests.

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation

Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Fund Reporting

- 972-205-45-1** Assets transferred to the common interest realty association by the developer and recognized in the balance sheet shall be reported as additions to the operating fund balance (or property fund, if such a fund is established). A common interest realty association may not need to use fund reporting if it does not assess for future major repairs and replacements.
- 972-205-45-2** Common interest realty associations that assess owners annually for portions of future major repairs and replacements shall report those assessed amounts separately from amounts assessed for normal operations. If a common interest realty association uses fund reporting, amounts assessed for future major repairs and replacements shall be reported in the major repair and replacement fund separately from transactions in the operating fund. Transfers between funds that are not part of the current-period operating revenues shall be presented only in a statement of changes in fund balances or in a statement of changes in members' equity, if a nonfund reporting approach is used. (See paragraphs 972-235-50-2 through 50-3 for recommended disclosures.)
- 972-205-45-3** Some common interest realty associations may also conduct commercial operations or separate business activities, such as rental operations, in addition to their primary activities. Such activities may be reported on as one or more additional funds.

> Nonfund Reporting

- 972-205-45-4** Nonfund reporting is an alternative to fund reporting. However, fund reporting is more informative to users, because financial statements using nonfund reporting often do not disclose whether assessments have been used for purposes other than those for which they were designated. For example, if nonfund reporting is used, a user of financial statements may be unable to determine whether assessments for future major repairs and replacements have been used in current operations.
- 972-205-45-5** Because this Subtopic primarily addresses the fund reporting approach, readers should substitute the term *members' equity* for the term *fund balance* if financial statements using nonfund reporting are presented. Furthermore, the fund for major repairs and replacements would be presented as an appropriation of retained earnings in such financial statements.

> Financial Statement Requirements

- 972-205-45-6** Full presentations of financial statements for common interest realty associations presented in conformity with generally accepted accounting principles (GAAP) shall include all of the following:
- a. A balance sheet
 - b. A statement of revenues and expenses
 - c. A statement of changes in fund balances or a statement of changes in members' equity if nonfund reporting is used
 - d. A statement of cash flows

e. Notes to financial statements.

- 972-205-45-7** Information about the operating fund shall present assets, liabilities, and the fund balance specifically associated with the common interest realty association's normal maintenance and service activities. For example, the operating fund shall include information about cash, assessments receivable, prepaid expenses, and trade payables. Property and equipment, if reported as assets, are generally reported in the operating fund. If the amount of property and equipment held by a common interest realty association is significant, the common interest realty association may account for it in a separate fund.
- 972-205-45-8** The presentation of information about the fund for major repairs and replacements (the replacement fund) shall include information about assets, liabilities, and the fund balance specifically associated with the common interest realty association's long-term major repair and replacement activities. The fund includes all assets that are held, for example, for the future replacement of roofs, roads, and furniture (some common interest realty associations may have a deferred maintenance fund which is used for painting or refinishing of building exteriors). Those assets usually consist of cash, marketable securities, and short-term investments. Liabilities in that fund generally are for work done on contracts for major repairs and replacements.
- 972-205-45-9** The statement of revenues and expenses shall present information about all assessments, other revenues, and expenses. All common interest realty association activities, except for replacement fund activities, shall be presented in the operating fund in the statement of revenues and expenses unless the common interest realty association has other funds such as a deferred maintenance fund or a capital improvement fund, and so forth. Depreciation shall be reported as an expense of the fund in which the asset is reported.
- 972-205-45-10** The financial statements shall include a statement of changes in fund balances, which reconciles beginning and ending fund balances with results of operations for the period. The statement may be presented separately or may be combined with the statement of revenues and expenses. Permanent transfers between funds shall be presented as interfund transfers in the statement of changes in fund balances, not as revenues. For example, if the board of directors transfers excess operating funds to the replacement fund at the end of an operating year, the interfund transfer shall be shown in the statement of changes in fund balances, not by reclassifying revenues.

> Interfund Receivables and Payables

- 972-205-45-11** Common interest realty associations may have interfund receivables and payables resulting from any of the following:
- Obligations of one fund are paid for with the assets of another fund.
 - Amounts assessed for the activities of one fund are collected, but not transferred, by another fund.
- 972-205-45-12** Corresponding interfund receivables and payables shall be presented to highlight the transactions resulting in those balances and to provide information about amounts assessed and collected that were not used in accordance with the budget.

> Unclassified Balance Sheets

- 972-205-45-13** Common interest realty associations can generally present unclassified balance sheets. Common interest realty associations having significant commercial operations, however, should consider presenting classified balance sheets.

> Cooperatives

972-205-45-14 Cooperatives shall present all of the following:

- a. A balance sheet
- b. A statement of operations
- c. A statement of changes in shareholders' equity
- d. A statement of cash flows
- e. Notes to financial statements
- f. The supplementary information required by paragraph 972-235-50-3.

972-205-45-15 Statements of operations of cooperatives shall present information about all revenues and expenses. Reported revenues shall include all charges to tenant-shareholders and other income. If per-share data are deemed useful, they shall be considered for disclosure in the notes to the financial statements.

972-205-45-16 A statement of retained earnings (deficit) may be combined with the statement of operations. If there is activity in paid-in capital, a separate statement of shareholders' equity should be prepared.

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Cooperatives

972-205-50-1 Components of retained earnings or deficit shall not be disclosed. Allocating a portion of retained earnings to an amount equal to accumulated depreciation is an unacceptable practice.

972-205-50-2 The notes to the financial statements should disclose a cooperative's funding policy, if any, for future major repairs and replacements, as discussed in paragraph 972-235-50-2.

> Other Matters

972-205-50-3 See paragraph 972-205-45-15 for guidance on disclosing per-share information.